

Policy Analysis Paper Part 1

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SOWK 322-003: Social Policy Analysis

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9th of March 2025

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Income inequality is one of the most pervasive issues in the United States today. Many individuals and families live paycheck to paycheck, struggling to afford basic necessities, while the economic elite consolidate wealth and influence political decisions to their advantage. As economic policies continue to favor the wealthy and point toward a potential recession, these disparities will only deepen, disproportionately impacting the average citizen. Beyond everyday financial struggles, income inequality contributes to disparities in education, healthcare, and overall quality of life, making it not just a singular issue but a driving force behind many of the social challenges Americans face.

My perspective on income inequality combines critical and rational approaches. Historically, systemic injustices—such as discriminatory housing policies, tax structures that favor the wealthy, and barriers to upward mobility—have exacerbated wealth inequality and undermined democratic participation. From a rational standpoint, I also recognize the economic structures in place; for example, programs like SNAP do not solely function as public assistance but also serve as indirect subsidies for the agricultural industry. Alternatively, a non-rational perspective highlights the emotional and social consequences of wealth inequality. Economic hardship is often framed as a personal or moral failing rather than the result of systemic inequities, making it difficult to shift public perception and advocate for meaningful policy change.

The data supports the severity of these issues. Approximately half of American renters spend more than 30% of their income on rent, leaving them vulnerable to financial crises (U.S. Census Bureau, 2024). Additionally, lower-income students have significantly reduced access to quality education, further limiting their economic mobility (Shaw-Amoah & Lapp, 2022). Meanwhile, the cost of living continues to rise while the federal minimum wage has remained stagnant for nearly two decades (MIT Department of Urban Studies and Planning, 2023). These statistics underscore the urgent need for systemic policy reforms to address wealth inequality and its far-reaching consequences.

Policy Responses

Numerous policies aim to influence the economic system, with some proving effective in alleviating persistent issues, while others have exacerbated these challenges, disproportionately benefiting the wealthy. Various policy adjustments could significantly improve the economic conditions of lower- and middle-income families, as well as strengthen the national economy, promoting a more equitable distribution of wealth and a healthier financial flow.

Rational Policy Analysis

Owen Zidar's "Tax Cuts for Whom?" (2019) finds that income tax cuts are most effective at stimulating job growth and economic expansion when directed toward lower- and middle-class workers, rather than the wealthy—as they are normally directed toward. Using state-level tax data from 1946 to 2012, Zidar demonstrates that employment growth is driven primarily by tax relief for the bottom 90% of earners, challenging supply-side "trickle-down" arguments that prioritize tax cuts for high-income individuals. From a rational policy analysis perspective, these findings support a data-driven approach to addressing economic disparity by prioritizing tax policies that maximize economic benefits. A rational policy framework would assess empirical evidence like Zidar's to design tax structures that equitably distribute economic gains and foster broad-based prosperity, rather than disproportionately favoring top earners under the assumption of trickle-down effects.

Non-rational Policy Analysis

A non-rational approach to economic disparity, in contrast, would focus on the behavioral factors that many policies and analyses often overlook. Lan Chu Khanh and Hung Chu argue, in *"Behavioral Economics: A New Look at Income Inequality and the Growing Wage Gap"* (2018), cognitive biases contribute to wealth disparity more than may be realized. They state traditional economic models fail to account for social and behavioral factors, such as loss aversion and social preference, leading to skewed statistics and information. Workers and consumers have their options framed in a way that is

overly exclusionary of alternatives, resulting in perspectives which are not always conducive to their own economic benefit. Policies under this approach must take behavioral and social factors into account, both privately and publicly. Better union laws and regulations, and wage transparency laws would be a great way to ensure workers and consumers are informed of their options beforehand.

Critical Policy Analysis

The growing dominance of financial markets and institutions in the economy has greatly contributed to the rising income and wealth inequality we face. *“Financialization: Causes, Inequality Consequences, and Policy Implications”* (Tomaskovic-Devy and Lin, 2011) argues that the shifting focus to shareholder profits, rather than production and wage standards, as well as speculative investments and executive compensation has resulted in reduced laborer share, weakened bargaining power, and exacerbated economic disparities. The authors argue that deregulation and globalization have fueled these trends—widening the gap between the wealthy and working class. Viewing this issue from a critical analysis perspective shows that this process is an intentional—and often politically-driven—shift that benefits those at the top, at the expense of workers. The most effective policies under this approach would target strong financial regulation, major business reform, and removing corporate influence from the policy-making process. Much like the rational approach, the critical approach would seek to dismantle the false narrative of trickle-down economics.

Conclusion

Ultimately, addressing economic disparity requires stronger regulation of large corporations and the reduction of financial influences on the political processes. Redirecting tax benefits to the broader population, rather than to the wealthiest individuals, would facilitate improved economic circulation by encouraging spending rather than the accumulation of wealth. The concept of trickle-down economics, often touted as a remedy for inequality, has been shown to perpetuate the concentration of wealth among the elite, with little tangible benefit for the majority. In contrast, demand-side economics—

contrary to the trickle-down model—has been demonstrated to foster sustainable economic growth by prioritizing the needs and spending power of the general public.

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